

FDE: Ten Long-Term Perspectives

Where we stand: a speculative watchlist company with a credible operating base, substantial growth potential and an unfinished case for attractive returns per share. The central illustration reaches about EUR32 in 2031, equivalent to 6.8% annually from EUR23. That falls below the 12% return hurdle assumed here.

Reference: La Française de l'Énergie, Euronext Paris FDE, closed at **EUR23 on 9 September 2026**. Approximately 5.280m issued shares imply EUR121.4m equity value. The horizon is September 2031; all price scenarios are nominal euros before investor taxes and fees.^{1,2}

Each lens tests a different driver. Their conclusions overlap because financing, delivery and regulation interact; they should not be averaged into a ten-vote score. Confidence in an observed risk differs from confidence in a future share price.

1. Cash available to owners

Current reading: cautious. Confidence: high on weak present conversion. H1 FY2026 operating cash flow of EUR8.57m becomes EUR5.13m after interest; after net investing, the balance is approximately **minus EUR17.3m**, before financing principal movements. Growth spending explains much of the outflow, but the company is still consuming capital.⁴

A cash valuation asks what can eventually reach the parent's shareholders. If no distributions arrive before 2031, a zero-growth perpetuity starting afterwards needs about **EUR25.7m annual owner cash** to justify EUR23 at a 12% required return; at 10%, it needs EUR19.6m. These are mathematical screens, not forecasts; finite concessions make indefinite continuation demanding. **Upgrade:** funded projects establish sustainable cash after necessary spending and minority claims.

2. Asset backing and downside protection

Current reading: no reliable book-value floor. Confidence: high. Parent equity at December 2025 was EUR88.07m, or about **EUR16.68 per share**. Debt and cash netted to EUR79.22m of debt. Exploration assets and goodwill make book value dependent on future economic recovery.⁴

Removing the EUR35.96m Bleue Lorraine carrying value alone would reduce parent book equity to roughly EUR9.87 per share before tax effects; this is a sensitivity, not a liquidation estimate or expected write-down.⁴ A cash-flow valuation already excluding that asset must not subtract its write-down again. **Upgrade:** independently supported asset values and a stronger, current balance sheet.

3. Reinvestment and long-term compounding

Current reading: attractive opportunity, unproved capital returns. Confidence: medium. Management's March programme paired around EUR200m net investment during FY2026-2028 with over EUR30m additional annualised EBITDA. The simple 15% EBITDA-to-investment ratio is before depreciation, tax, maintenance and financing; it is not a shareholder return or project IRR.⁵

FY2025 EBITDA of EUR17.28m also contained EUR5.87m unrealised hedge gains. Removing those alone leaves EUR11.40m, before other adjustments.³ Long-term compounding needs recurring returns on new capital above its cost. **Upgrade:** commissioned plants repeatedly meet budgets and earn adequate after-tax returns.

3. FDE. FY2025 annual report, especially note 2.5 (31 October 2025).

4. FDE. H1 FY2026 financial statements and notes (approved 30 March 2026).

5. FDE. H1 FY2026 presentation: investment plan, p. 12 (25 March 2026).

Financing, pricing and trust

4. Financing and ownership per share

Current reading: a major constraint. Confidence: high on the exposure. The interim accounts show EUR108.3m financial liabilities falling due within one to five years after December 2025. Minority equity includes EUR6.5m Alltec consideration payable through Norwegian holding-company shares. Both refinancing and subsidiary ownership affect what existing shareholders retain.⁴

At 5.280m shares, an extra EUR10m net debt removes **EUR1.89 per share** from a future equity valuation, holding asset value constant. A 20% increase in shares reduces the same equity value per share by 16.7%; productive use of the proceeds can offset that dilution. **Upgrade:** adequate financing and positive project cash without onerous terms. Borrowing definitions must be reconciled before making a covenant-breach claim.

5. Commodity exposure and contracted income

Current reading: the strongest support for the core business. Confidence: medium. New French mine-methane electricity has EDF purchase terms around **EUR80/MWh, indexed for inflation, over 15 years**. By August, 19 engines were operating and another 16 were secured for deployment. This gives the long-term case a concrete foundation.⁸

Merchant exposure remains meaningful. FY2026 gas production rose 30% to 228GWh while its realised price fell from EUR46 to EUR40/MWh. A EUR10/MWh move across that volume represents EUR2.28m revenue before hedges, costs and tax.⁷ **Upgrade:** more contracted output and reliable uptime.

Downgrade: lower merchant prices, rising costs or unavailable gas/grid capacity. A contract secures a price, not the amount actually produced.

6. Governance and the valuation multiple

Current reading: a confidence discount is warranted. Confidence: high. The July disclosure acknowledged failures in hedge execution and controls. Estimated exposures were EUR3.8m settled losses affecting cash and profit, plus EUR6.7m negative valuation on open positions. Their combined EUR10.5m scale equals about EUR1.99 per issued share before tax; it is not all a fresh future cash payment.⁶

Management announced tighter validation, limits and monitoring. Share ownership creates alignment but cannot replace effective controls. Investors can lower the multiple they pay even if physical assets continue operating. **Upgrade:** an audited reconciliation and subsequent reporting periods demonstrating effective controls. Another unexpected exposure would materially worsen the case.

How these three lenses combine

Predictable contracted cash can support borrowing, but leverage increases the cost of operational mistakes. The critical long-term question is whether FDE can complete the expansion on financing terms that leave worthwhile returns for each existing share. A rising group EBITDA is insufficient evidence by itself.

The model on page 4 assumes all required funding can be obtained without new parent shares or forced asset sales. Peak net debt reaches about **EUR184m in the central case** and EUR202m with strong delivery. These are financing requirements of the model, not confirmed lender commitments. If those terms are unavailable, the corresponding per-share values must be reduced.

6. FDE / Actusnews. Impact of energy volatility on FY2026 hedging positions (16 July 2026).

7. FDE / Actusnews. FY2026 annual revenues (21 July 2026).

8. FDE / Actusnews. Continued rollout of electricity production from mine methane (31 August 2026).

Options, permissions and expectations

7. Natural hydrogen as an investment option

Current reading: potentially valuable, presently unquantifiable. Confidence: low on commercial earnings. The June update reports 49.6% hydrogen in sampled gas at 2,426 metres. It does not establish sustained commercial flow or extraction costs. Flow testing was planned for H2 2026, resource certification to start in 2027, and production targeted for late 2028 / early 2029.⁹

IFPEN's broader June assessment places industrial-scale prospects around 2035-2040; it is not a project-specific rejection.¹³ The central model assigns no hydrogen operating profit. That does **not establish that the market values hydrogen at zero**, and exploration consumes money. **Upgrade:** sustained flow, independent resource evidence, extraction economics, permissions and funded buyers.

8. Permission to operate and technical feasibility

Current reading: a material Lorraine obstacle. Confidence: high on the legal finding. The Conseil d'État annulled Bleue Lorraine's coalbed-gas concession in December 2025 after finding technical capability insufficiently demonstrated, including well-integrity and aquifer concerns. FDE is contesting the outcome. Its separate hydrogen exploration permission does not establish a right to commercial production.^{10,4,11}

Unpermitted Lorraine gas contributes no earnings to these scenarios. **Upgrade:** an effective exploitation entitlement, demonstrated technical compliance and a financeable project. Large geological resources can remain economically inaccessible.

9. Market expectations, sentiment and liquidity

Current reading: a substantial sell-off, without proof of mispricing. Confidence: high on trading data. At EUR23, the stock was down 41.3% over three months. Average twenty-session volume was only 15,648 shares, about EUR0.36m at that price. Small flows can amplify repricing; this does not identify forced sellers or prove a bottom.¹⁵

Consensus is EUR45 from just three analysts; the same source estimates only EUR15m FY2027 EBITDA, underscoring reliance on later growth. Those target assumptions require inspection.¹² **Upgrade:** delivery generates sustained positive earnings revisions and deeper liquidity. A prior high provides no entitlement to recovery.

10. Reverse valuation and the return hurdle

Current reading: EUR23 already requires significant delivery. Confidence: high in arithmetic, low in assumptions. Using the central 2031 capital claims and an 8x EBITDA multiple, the required outcomes are:

Annual return from EUR23	2031 share price	Required EBITDA*
10%	EUR37.0	EUR48.3m
12%	EUR40.5	EUR50.6m
15%	EUR46.3	EUR54.4m

*Excludes associates. Assumes EUR176m net debt, EUR25m minority equity, EUR10m associate value, 5.280m shares and no dividend. Central EBITDA is EUR45m, below all three thresholds. Higher debt or dilution raises the hurdle; a stronger sustainable multiple lowers it. The 12% hurdle is an analytical choice, not a market law.

9. FDE / Webdisclosure. Natural hydrogen concentrations in Lorraine (23 June 2026).

10. Conseil d'État. Decision 490266: Bleue Lorraine concession (16 December 2025).

12. FactSet via Boursorama. FDE analyst recommendations and financial estimates (18 August / 9 September 2026).

15. Zonebourse. FDE trading volumes and historical performance (9 September 2026).

Five-year price scenarios

These are **conditional September 2031 prices using FY2031 earnings**, assuming differing deployment scale and timing. Investment budgets, cash charges and multiples are analytical inputs, not company forecasts. Natural hydrogen and unpermitted Lorraine gas contribute no earnings or separate asset value.

Funding convention: opening FY2027 net debt is assumed at **EUR110m including leases**, versus EUR79.22m reported at December 2025. The June 2026 audited position is pending. This assumption incorporates intervening investment and hedging effects; it must be replaced when accounts are available.^{4,7}

EURm unless stated	Limited progress	Central	Strong delivery
FY2027-2031 EBITDA path*	17 / 18 / 20 / 23 / 25	18 / 28 / 36 / 42 / 45	20 / 38 / 52 / 65 / 75
Five-year net capital spending	80	163	223
Five-year cash deductions**	55	72	97
Five-year cumulative EBITDA	103	169	250
2031 net debt: 110 + spending + deductions - EBITDA	142	176	180
2031 enterprise value / EBITDA	7x	8x	9x
Minority equity / associate value	15 / 10	25 / 10	35 / 15
2031 equity value	28	169	475
2031 price per share	EUR5.3	EUR32.0	EUR90.0
Annualised return from EUR23	-25.4%	+6.8%	+31.4%
Value today at a 12% hurdle	EUR3.0	EUR18.2	EUR51.0

*EBITDA excludes associates and includes IFRS16. **Cash interest, taxes, working-capital and other cash movements, including minority payments net of associate distributions. Debt and lease principal payments cancel within net debt and are excluded from this bridge. No new lease financing is assumed; investment is cash funded. Spending is net of grants and includes maintenance. Funding must cover residual hedge settlements within these assumptions.

Central annual bridge, FY2027-2031: spending 45 / 45 / 30 / 25 / 18; cash deductions 9 / 12 / 15 / 17 / 19. Net debt therefore runs 146 / 175 / 184 / 184 / 176. These annual inputs make the financing requirement visible.

Price formula: (2031 EBITDA × multiple - net debt - minority value + associate value) / 5.280m shares. Discount five years for today's value. No dividends, dilution or separately added project pipeline are assumed. Minority and associate values are economic assumptions, not copied book values.

The terminal-value test matters. The central model leaves only EUR8m in FY2031 after its spending and cash deductions, before financing principal. An 8x multiple therefore requires further cash conversion or growth beyond 2031. Strong delivery also needs continuing improvement. Neither case represents an already mature cash annuity.

Limited progress is not a worst-case floor: severe funding failure could wipe out equity. Proven hydrogen economics could widen the upside after development capital and ownership are allowed for. No probabilities are assigned because the evidence does not support reliable calibration.

Where FDE stands now

Operational position: mine methane has demonstrated production and a credible route to more contracted revenue. **Investment position:** the larger expansion has still to demonstrate its returns, funding resilience and benefit per share. **Hydrogen position:** exploration success precedes commercial proof.

My judgement at EUR23: wait for evidence before committing substantial new capital. A central outcome of EUR32 in five years would be only a 6.8% annual price return, despite strong assumed earnings growth. At the chosen 12% hurdle, that path is worth approximately EUR18 today. The optimistic case requires reliable delivery and continued access to finance. FDE has not yet demonstrated that it can reliably grow cash available to each shareholder.

Checkpoint	Evidence needed to improve the view
20 October 2026 results	Audited hedge reconciliation; current liquidity, debt and funding headroom; remaining construction commitments. ^{6,7}
2027-2028 operating proof	Romerike cash contribution, more working engines, Agder startup and Halså progress. Milestones must produce margin and cash. ^{7,8,14}
Hydrogen valuation gate	Sustained recovery, independent resource evidence, economic extraction and funded development. ⁹

The controlling tests are cash available per share and the ability to finance delivery. Positive answers from other lenses cannot compensate for failure on either. Revisit valuation when those facts change; a lower quote alone does not resolve them.

Sources

Company statements supply reported facts and ambitions; legal and scientific sources provide independent checks. Calculations, return hurdles, cash-flow paths and scenarios are original assumptions and analysis. Links are clickable.

1. Boursorama. FDE closing quote. 9 September 2026.
2. FDE. Shares and voting rights at 31 December 2025. 21 January 2026.
3. FDE. FY2025 annual report, especially note 2.5. 31 October 2025.
4. FDE. H1 FY2026 financial statements and notes. approved 30 March 2026.
5. FDE. H1 FY2026 presentation: investment plan, p. 12. 25 March 2026.
6. FDE / Actusnews. Impact of energy volatility on FY2026 hedging positions. 16 July 2026.
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9. FDE / Webdisclosure. Natural hydrogen concentrations in Lorraine. 23 June 2026.
10. Conseil d'État. Decision 490266: Bleue Lorraine concession. 16 December 2025.
11. French Senate / Ministry. Question 08659: hydrogen exploration in Lorraine. 2026.
12. FactSet via Boursorama. FDE analyst recommendations and financial estimates. 18 August / 9 September 2026.
13. IFP Energies nouvelles. La lettre IFPEN #16: Hydrogène naturel. 11 June 2026.
14. Greenstat / Arendalsuka. Building a hydrogen factory: project event. 10 August 2026.
15. Zonebourse. FDE trading volumes and historical performance. 9 September 2026.